



Rating

Buy

North America
United States

TMT

Software

Company

Microsoft

Reuters
MSFT.OQ

Bloomberg
MSFT US

Date

30 July 2026

Rating	Buy
Price target (USD)	550.00
Price at 29 Jul 26	390.54
52-week range	542.07 – 1.46

[Valuation & Risks](#)

F4Q - Harnessing the Power of AI

Microsoft reported very strong F4Q results that underscore its full-stack advantage in the AI era, with strong evidence of monetization up through the application layer featuring M365 Commercial Cloud acceleration including Copilot reaching 30mn seats from 20mn last quarter. Another clear message is that the future is very much multi-model and the frontier is about every firm having the flexibility and choice to control its destiny; Microsoft enables this with the broadest model catalog in the cloud and associated scaffolding and guardrails enterprises require. The quarter evidenced that production AI applications rely on harnesses, context, memory and action space, architected in a way that any given model at any given time is swappable. Aligning with the durable role Microsoft plays, we found it interesting that mgmt. framed its success and various growth metrics ex the contribution from frontier model companies.

Azure +43% y/y @cc exceeded ~40-41% investor expectations, driven by efficiency gains across the CPU/GPU fleet and process improvements that enabled earlier delivery of new capacity which was quickly monetized. Results also benefited from stronger than expected GitHub Copilot consumption revenue following the June business model change to consumption pricing. Very impressively, Azure was guided to accelerate in F1H and +45% y/y @cc in F1Q, which implies \$2.8bn net adds (+65% y/y) and is consistent with commentary implying accelerating demand. With CapEx continuing to climb in F1H and more weighted toward short-lived assets in recent quarters, this looks supportive for elevated Azure growth rates to persist for multiple quarters to come.

For the full year, mgmt. reiterated total company guidance for double-digit topline and EBIT growth, with operating margins down <1pt y/y. This was slightly better than the -1pt y/y decline we previewed despite guidance for sharper FY27 revenue declines in high margin Windows (-high-teens % y/y), M365 Commercial Products (-MSD %) and Server Products (-MSD %). Factoring in updated guidance, our FY27 GM estimate eases only a slight ~10bps to 65.8% which we believe supports our view that Microsoft has a number of levers to help partly offset margin headwinds from mix shift and higher component costs as we laid out in our [Margins under the Microscope](#) report. As for CapEx, the lease reclassification impact from useful life changes on long-lived assets creates some noise, but on a like-for-like basis we understand there is no change to prior CY26 investment plans. Beyond that, mgmt. essentially held off on giving a view on F2H plans outside the expectation for FY27 FCF overall to remain positive.

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We come away reaffirmed in our view that Microsoft is poised to continue compounding EPS at a mid-teens+ rate for multiple years to come on the back of increasingly tangible AI monetization across its full-stack. Accelerating Azure and M365 growth along-side resilient operating margins should build confidence in the returns on CapEx and R&D investment going into the business and Microsoft's position as a key facilitator of enterprise wide AI value creation. We maintain our Buy rating and target price of \$550, which implies ~25x our updated CY27E EPS.

What We Liked / What We're watching on the Quarter

Revenue/Bookings

(+) F4Q revenue of \$90.0bn was 3.2% above the midpoint of guidance, with upside across all segments. On a constant currency basis, growth accelerated to 17% y/y @cc vs +15% last quarter. From a full year perspective, growth ticked up 1pt to +16% y/y @cc with a revenue base that now exceeds \$331bn.

(+) Commercial Bookings grew 11% y/y @cc. When adjusted for Azure commitments from OpenAI, commercial bookings reportedly grew 18% y/y driven by strong execution in core annuity sales motions vs guidance for healthy growth on a growing expiry base. Commercial RPO ended the quarter +84% y/y at \$678bn with all sequential growth driven by commitments from customers other than frontier model providers. Total Commercial RPO was noted to have a weighted avg duration of 2.3yrs (including OpenAI), down from 2.5yrs last quarter, with 30% expected to be recognized in the next 12 months (up +37% y/y).

Business Lines

(+) Azure growth of +43% y/y @cc was 3.5pts above the guidance midpoint (39.5%) and likely above buyside expectations. Upside was driven by efficiency gains across the CPU and GPU fleet, process improvements to enable earlier delivery of new capacity, and stronger than expected GitHub Copilot consumption. We underscore that while the outperformance was incredibly strong, results continue to be limited by supply constraints as mgmt. works toward balancing increasing Azure demand with growing needs across 1P services, increasing allocation to R&D teams, and replacement of end-of-life equipment. Demand continues to exceed supply across workloads, customer segments, and geographic regions.

(+) M365 Commercial Cloud +14% y/y @cc came in at the high end of guidance +13-14% on a reported basis. When adjusted for 1x rev rec benefit in the prior year, M365 Commercial Cloud grew +16% and accelerated from +15% in F3Q. Growth was again driven by a combination of seat growth (+6% y/y) and ARPU expansion which was led by Copilot, E5, and early E7 traction. M365 Copilot was now reported to exceed 30m paid seats vs >20m reported last quarter with net paid seat adds >2x q/q against guidance for "net paid seat adds to increase sequentially".

(+) Server Products declined -1% y/y @cc and was relatively unchanged on a reported basis, ahead of guidance that called for a MSD% decline on the back of continued mix shift to cloud partially offset by higher purchasing of licenses running in multi cloud environments.

(+) LinkedIn ticked up to +10% y/y @cc vs +9% in F3Q primarily driven by growth in Marketing Solutions.



(-) Dynamics 365 growth eased to +12% y/y @cc and grew in line with expectations for LDD% growth. Mgmt. noted bookings growth within ERP to remain healthy while CRM moderated with longer sales cycles.

(=) Search and News Advertising revenue (ex-TAC) +9% y/y @cc came in line with guidance for high single digit growth (flat sequentially as growth rates normalize).

(+) High margin Windows OEM + Devices revenue of -7% y/y was much better than guidance for mid-to-high teens decline attributable to lower PC market demand and a tough prior year comp partially offset by OEM and channel partners continuing to build inventory because of increasing component prices.

Margins/EPS/CapEx

(+) Operating margin of 45.1% was +1.1pts above the implied guidance midpoint (44.0%) and +0.2pts y/y, benefiting from revenue and gross margin outperformance. Gross margin of 67.2% exceeded guidance of 66.2%, though was down -1.4pts y/y on continued investments in AI infrastructure and growing AI product usage, partially offset by efficiency gains in Azure and M365 Commercial Cloud.

(=) OpEx of \$19.9bn came in ~2.7% above the guidance midpoint (\$19.35bn) and grew 10% primarily driven by continued investments in R&D compute capacity, talent, and data to support product development. Adjusted for 1x charges (\$0.5bn net impact), primarily those tied to Xbox and the VRP, OpEx screens roughly in line with the guidance midpoint in our view. Despite gross margin headwinds, operating margins expanded >1pt on a full year basis to 46.8%. Total company headcount was noted to be down 2% y/y exiting FY26.

(+) Non-GAAP EPS of \$4.74 was in line with consensus, though benefited by \$2.0bn (\$0.27 EPS impact) from discrete items.

(+) Capex (inclusive of capital leases) rose by \$9.1bn sequentially to ~\$41.0bn in F4Q, in line with guidance to be >\$40bn with impact from higher component pricing. Roughly two-thirds was spent on short-lived assets, in line with last quarter and consistent with mgmt.'s messaging around capex mix shift.

What We Liked / What We're watching on the Guide

(+) F1Q revenue guidance of \$90.4bn at the midpoint came in above Street (\$89.9bn); PBP and IC segment revenue guidance was ahead of consensus while MPC is guided below and declining y/y. FX is anticipated to be a <1pt headwind to revenue in the quarter. From a full year perspective, mgmt. expects another year of DD% revenue growth with a <1pt headwind from FX.

(+) F1Q Azure guidance of +45% y/y @cc was 4pts ahead of consensus ~41% and implies a 2pt acceleration from F4Q levels. Demand is still expected to remain ahead of supply and mgmt. remains focused on delivering infrastructure efficiencies to help bridge the gap between demand and supply. Despite a strong C1H26, mgmt. continues to expect C2H growth to accelerate.

(+) F1Q M365 Commercial Cloud guidance for +16% y/y @cc in line with F4Q when normalized for in-period rev rec benefit in the prior year comp. Beyond F1Q, mgmt. guided M365 Commercial Cloud revenue to accelerate through FY27, contributors to which include premium SKU momentum and increased monetization opportunity from adding usage based billing products.



(+) At midpoints, guidance for F1Q OM to remain relatively flat y/y in the 48.0% to 49.0% range, ~1pt above Street. Guidance embeds gross margins of 67.1% at the midpoint that are down 1.9pts y/y and OpEx growth of +7.5%. On a full year basis, op. income is expected to grow DD% once again with OpEx growing in the MSD-HSD% range calling for full year operating margins to tick down less than 1pt.

(+) From a CapEx perspective, CY26 CapEx was reset to ~\$175bn (vs. ~\$190bn previously), though the change is primarily accounting-driven following the extension of datacenter and office building useful lives from 15 to 25 years. The update shifts more future datacenter leases from finance to operating leases, the latter of what is generally not included in CapEx thus reducing reported CapEx without changing underlying investment levels. Consistent with that, management reiterated that CY26 investment expectations are unchanged and guided to >\$50bn of CapEx in F1Q reinforcing continued infrastructure investment to support demand. From a full year perspective, mgmt. did not give more direction beyond saying FY27 CapEx is expected to grow y/y. Microsoft is expected to be FCF positive in FY27.

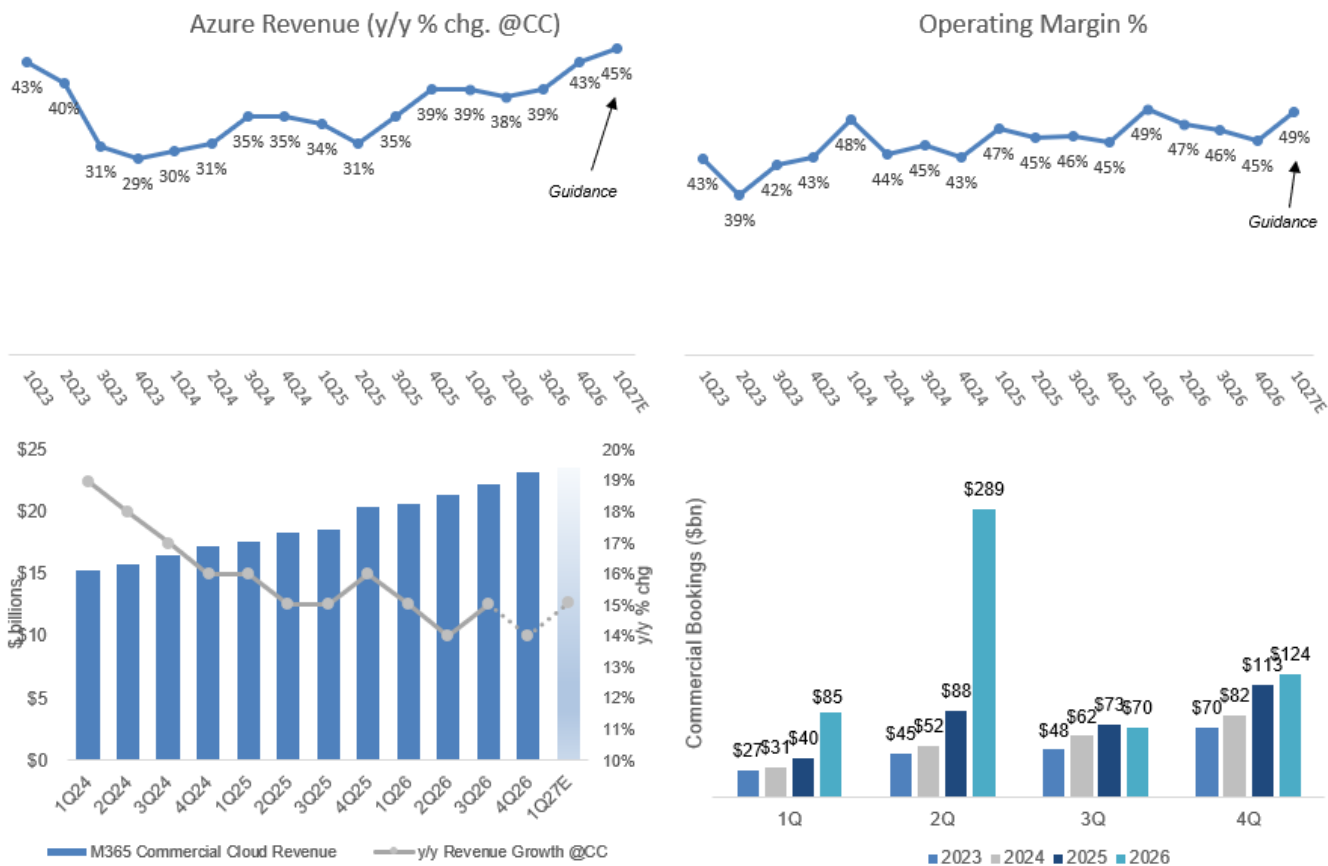
(+) In other parts of the business, M365 Commercial Products as well as Server Products are expected to decline in the MSD% range for the full year as they lap higher transactional purchasing from the timing of product launches. Windows OEM and Devices is also expected to be impacted by lower PC market demand driven by high component prices in addition to already elevated inventory levels and comps that benefitted from W10 EOS, following which Windows OEM and Devices are expected to decline in the HDD% range for the full year.

Estimate Revisions and Valuation

Incorporating F4Q results, guidance and our latest thoughts on the business we increase FY27/28 revenue estimates to \$388.5/\$459.4bn from \$384.2/\$448.0bn and non-GAAP EPS estimates to \$19.46/\$23.15 from \$19.45/\$22.75, respectively. We reiterate our \$550 TP, implying a P/E of ~25x our CY27E Non-GAAP EPS. We use a DCF to arrive at our target price. Our DCF is based on a WACC of 9.1%, a risk-free rate of 4.0% and an equity risk premium of 5.3%. We use a terminal growth rate of 3.5%, based on GDP growth. Downside risks to our Buy rating include: (1) Increased competition for AI and public cloud; (2) Further deterioration of the macro environment; and (3) Expectations for continued growth at large scale.



Figure 1: Key Charts



Source: Company Reports, DB Estimates



Figure 2: F4Q26 Summary

Microsoft (MSFT)					
In \$mn except EPS					
	4Q26E				
	Actual	DBe	Actual vs. DBe	Cons.	Company guidance
Income Statement					
Productivity & Business Process	37,847	37,171	+1.8%	37,235	37,000 - 37,300
Y/Y Growth	+14.3%	+12.3%		+12.5%	
M365 Comm Cloud Y/Y Growth - CC	+14.0%	+13.5%		+13.8%	+13% - +14%
Intelligent Cloud	39,306	38,095	+3.2%	38,127	37,950 - 38,250
Y/Y Growth	+31.6%	+27.5%		+27.6%	
Azure Y/Y Growth - CC	+43.0%	+39.5%		+39.5%	+39% - +40%
More Personal Computing	12,854	12,105	+6.2%	12,106	11,750 - 12,250
Y/Y Growth	-4.4%	-10.0%		-10.0%	
Total Revenue	90,007	87,371	+3.0%	90,007	86,700 - 87,800
Y/Y Growth	+17.7%	+14.3%		+17.7%	
Gross Profit	60,482	57,839	+4.6%	60,482	57,100 - 58,400
GM (%)	67.2%	66.2%		67.2%	
Operating Income	40,603	38,487	+5.5%	40,603	37,700 - 39,100
OM (%)	45.1%	44.1%		45.1%	
Y/Y Growth	+18.3%	+12.1%		+18.3%	
Non-GAAP Net Income	35,286	31,017	+13.8%	35,286	
Net margin (%)	39.2%	35.5%		39.2%	
Non-GAAP EPS	\$4.74	\$4.17	+13.6%	\$4.74	
Operating Metrics					
Operating Cash Flow	55,441	49,028	+13.1%	55,441	
Y/Y Growth	+30.0%	+15.0%		+30.0%	
Capital Expenditures (incl. cap leases)	41,002	41,938	-2.2%	41,000	
Levered Free Cash Flow (ex-cap leases)	19,639	14,080	+39.5%	19,639	

Source: DB estimates, Company data, Bloomberg Finance LP



Figure 3: Estimates Summary

Microsoft (MSFT)													
In \$mn except EPS													
	1Q27E					FY27E				FY28E			
	New Estimates	Old Estimates	New vs. Old	Cons.	Company guidance	New Estimates	Old Estimates	New vs. Old	Cons.	New Estimates	Old Estimates	New vs. Old	Cons.
Income Statement													
Productivity & Business Process	36,855	36,654	+0.5%	36,793	36,700-37,000	155,536	154,709	+0.5%	155,062	173,318	170,123	+1.9%	171,077
Y/Y Growth	+11.6%	+11.0%		+11.4%		+11.1%	+11.0%		+10.8%	+11.4%	+10.0%		+10.3%
M365 Comm Cloud Y/Y Growth - CC	+15.1%	+14.6%		+14.5%	+15%	+16.1%	+14.6%		+13.0%	+15.0%	+12.6%		+12.9%
Intelligent Cloud	41,095	40,024	+2.7%	39,997	40,950-41,250	181,602	177,743	+2.2%	176,718	233,229	224,570	+3.9%	228,991
Y/Y Growth	+33.0%	+29.5%		+29.5%		+31.8%	+30.1%		+28.3%	+28.4%	+26.3%		+29.6%
Azure Y/Y Growth - CC	+45.0%	+41.0%		+41.0%	+45%	+42.5%	+40.1%		+40.3%	+34.5%	+32.2%		+37.5%
More Personal Computing	12,477	12,876	-3.1%	12,865	12,200-12,700	51,411	51,771	-0.7%	52,511	52,896	53,269	-0.7%	53,311
Y/Y Growth	-9.3%	-6.4%		-6.5%		-4.9%	-2.9%		-2.9%	+2.9%	+2.9%		+1.5%
Total Revenue	90,427	89,553	+1.0%	89,901	89,850-90,950	388,549	384,222	+1.1%	384,222	459,442	447,962	+2.6%	455,581
Y/Y Growth	+16.4%	+15.3%		+15.7%		+17.1%	+16.7%		+15.8%	+18.2%	+16.6%		+18.6%
Gross Profit	60,677	59,401	+2.1%	59,959	60,050-61,350	255,820	253,403	+1.0%	255,418	296,525	291,067	+1.9%	294,535
GM (%)	67.1%	66.3%		66.7%		65.8%	66.0%		66.5%	64.5%	65.0%		64.7%
Operating Income	43,823	42,499	+3.1%	42,588	43,150-44,550	180,643	178,365	+1.3%	178,358	213,837	207,788	+2.9%	210,000
OM (%)	48.5%	47.5%		47.4%		46.5%	46.4%		46.4%	46.5%	46.4%		46.1%
Y/Y Growth	+15.4%	+12.0%		+12.2%		+16.4%	+16.5%		+14.9%	+18.4%	+16.5%		17.7%
Non-GAAP Net Income	34,978	34,318	+1.9%	34,522		144,434	144,030	+0.3%	144,289	171,070	167,623	+2.1%	168,765
Net margin (%)	38.7%	38.3%		38.4%		37.2%	37.5%		37.6%	37.2%	37.4%		37.0%
Non-GAAP EPS	\$4.71	\$4.63	+1.7%	\$4.65		\$19.46	\$19.45	+0.1%	\$19.46	\$23.15	\$22.75	+1.8%	\$22.78
Operating Metrics													
Operating Cash Flow	51,553	54,931	-6.2%	53,613		215,683	207,959	+3.7%	215,163	255,359	250,165	+2.1%	251,652
Y/Y Growth	+14.4%	+21.9%		+19.0%		+17.9%	+17.8%		+17.6%	+18.4%	+20.3%		17.0%
Capital Expenditures (incl. cap leases)	50,639	(56,419)	-189.8%	55,749		214,895	238,027	-9.7%	231,973	241,551	259,916	-7.1%	261,454
Levered Free Cash Flow (ex-cap leases)	1,818	7,468	-75.7%	7,477		4,674	7,840	-40.4%	30,000	18,402	30,566	-39.8%	52,235

Source: DB estimates, Company data, Bloomberg Finance LP



Appendix 1

Important Disclosures

Company	Ticker	Recent price	Disclosure
Microsoft	MSFT.OQ	390.54 (USD) 29 Jul 26	7, 8, 14, 15, 21, 24, 26

Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources.

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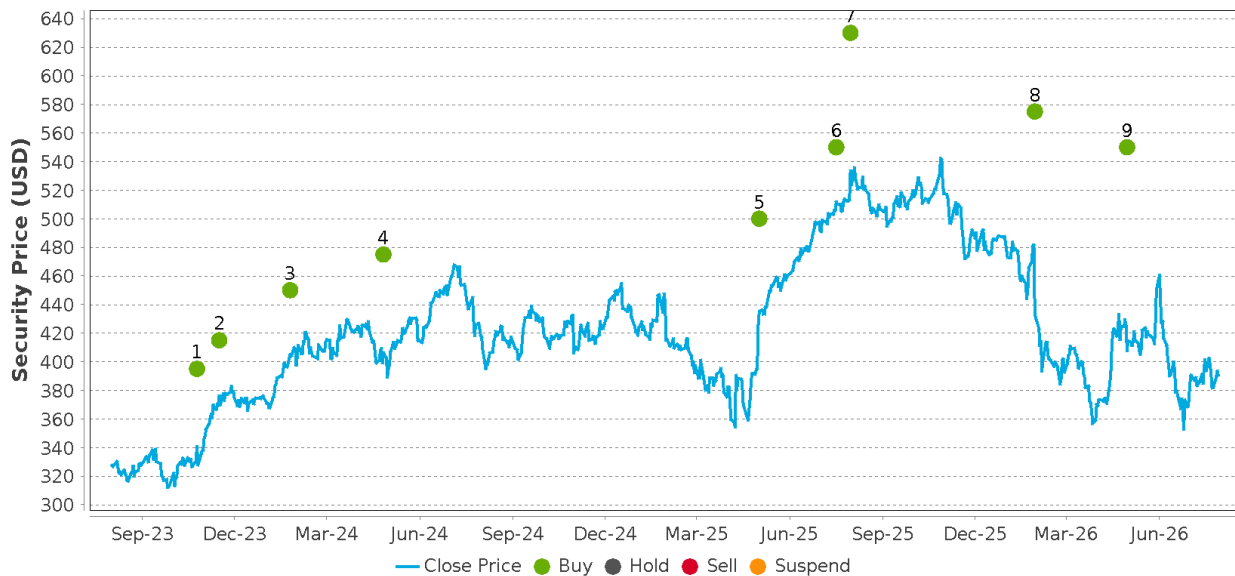
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Historical recommendations and target price: Microsoft (MSFT.OQ)



1.	25 Oct 23	Price target: 395 (USD), close price 340.67 (USD), Recommendation: Buy, Analyst: Brad Zelnick
2.	16 Nov 23	Price target: 415 (USD), close price 376.17 (USD), Recommendation: Buy, Analyst: Brad Zelnick
3.	25 Jan 24	Price target: 450 (USD), close price 404.87 (USD), Recommendation: Buy, Analyst: Brad Zelnick
4.	26 Apr 24	Price target: 475 (USD), close price 406.32 (USD), Recommendation: Buy, Analyst: Brad Zelnick
5.	2 May 25	Price target: 500 (USD), close price 435.28 (USD), Recommendation: Buy, Analyst: Brad Zelnick
6.	17 Jul 25	Price target: 550 (USD), close price 511.7 (USD), Recommendation: Buy, Analyst: Brad Zelnick
7.	31 Jul 25	Price target: 630 (USD), close price 533.5 (USD), Recommendation: Buy, Analyst: Brad Zelnick
8.	29 Jan 26	Price target: 575 (USD), close price 433.5 (USD), Recommendation: Buy, Analyst: Brad Zelnick
9.	30 Apr 26	Price target: 550 (USD), close price 407.78 (USD), Recommendation: Buy, Analyst: Brad Zelnick



Company rating dispersion and banking relationships

DBSI Companies under Coverage	Buy	Hold	Sell
Covered	58%	42%	0%
w/ Banking relationship	42%	35%	0%
w/ MiFID services	63%	52%	67%

Global Companies under Coverage	Buy	Hold	Sell
Covered	58%	40%	2%
w/ Banking relationship	46%	32%	32%
w/ MiFID services	75%	69%	94%

Company Rating and Dispersion Key

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Note - percentages are rounded so may not total 100%.

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w/Banking relation: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided Investment Banking Services within the previous 12 months.

w/MiFID services: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided MIFID Investment and Ancillary services within the previous 12 months.

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Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR: Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield.

Newly issued research recommendations and target prices supersede previously published research.



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